

Do the bottoms have a different shape? If yes, then you are on the right track. The pattern is either an Adam & Eve or Eve & Adam double bottom. The Eve bottom should look rounded and wide (especially near the top of the bottom, if that makes any sense). If spikes appear, they should be short and bunched together. The Adam bottom should look different from Eve. It should be narrower, V-shaped, and usually have a long, one- or two-day downward price spike.

Table 28.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price trends down into a two-valley pattern. The first valley should be a rounded-looking turn. The second should be more V-shaped. Both should bottom near the same price. After the second valley, price rises.
Price trend	Price trends downward into the start of the pattern and should not drift below the left bottom.
Rise between bottoms	Traditionally, the rise between bottoms should be at least 10%, but be flexible. I now allow most any value, but tall patterns outperform short ones.
Bottom low price	Bottom-to-bottom price variation is small (typically 1%).
Bottom separation	Bottoms should be at least a few weeks apart. The median width is 23 days.
Price rise after right bottom	Price must close above the confirmation point without first falling below the right bottom low.
Volume	The right bottom tends to see heavier volume. Don't discard a pattern because it has an unusual volume trend (the performance difference is small).
Breakout direction, confirmation	The breakout is upward when price closes above the highest peak between the two bottoms. An upward breakout confirms the double bottom as a valid chart pattern. If price closes below the bottom of the pattern first, then it's not a valid double bottom.